Deutsche Bank
Research Institute

Global events matter, but don't, but do

July 30, 2026

Authors

Luke Templeman
Research Analyst

Galina Pozdnyakova
Research Analyst

Executive summary

There is a common assumption that markets look through global events such as war and geopolitics. But the effects of these and other events extend far more broadly into investor portfolios than just the headline indices. Our latest data indicates just how much most people oversimplify the reaction of investors and markets to global events.

Indeed, we find that investors do not look through global events. On the contrary, they are highly polarised about them. On our analysis, the vast majority of investors think global events will either be a “risk” or an “opportunity” for markets. That is very different from almost all other broad themes where a higher proportion of people simply think there is “no effect”.

Our dbDataInsights team asked 500 people from the US and UK if and why they think global events affect their investment portfolios and what they are doing about it. We then used AI to analyse all this unstructured data. In this piece, we compare the results to specific datapoints that indicate investors are actively reshaping their portfolios to either capture opportunities or hedge the risks that they see in global events.

In the end, we see that positive and negative views on global events can coexist. The negative respondents focus on the immediate effects: oil prices rise, inflation rises, markets fall. The positive respondents focus on longer-term effects: markets adapt, companies innovate, energy systems diversify, and portfolios positioned in the right sectors benefit. Both views may be internally coherent; they simply operate on different time horizons.

Deutsche Bank
Research Institute

Why global events are making a comeback

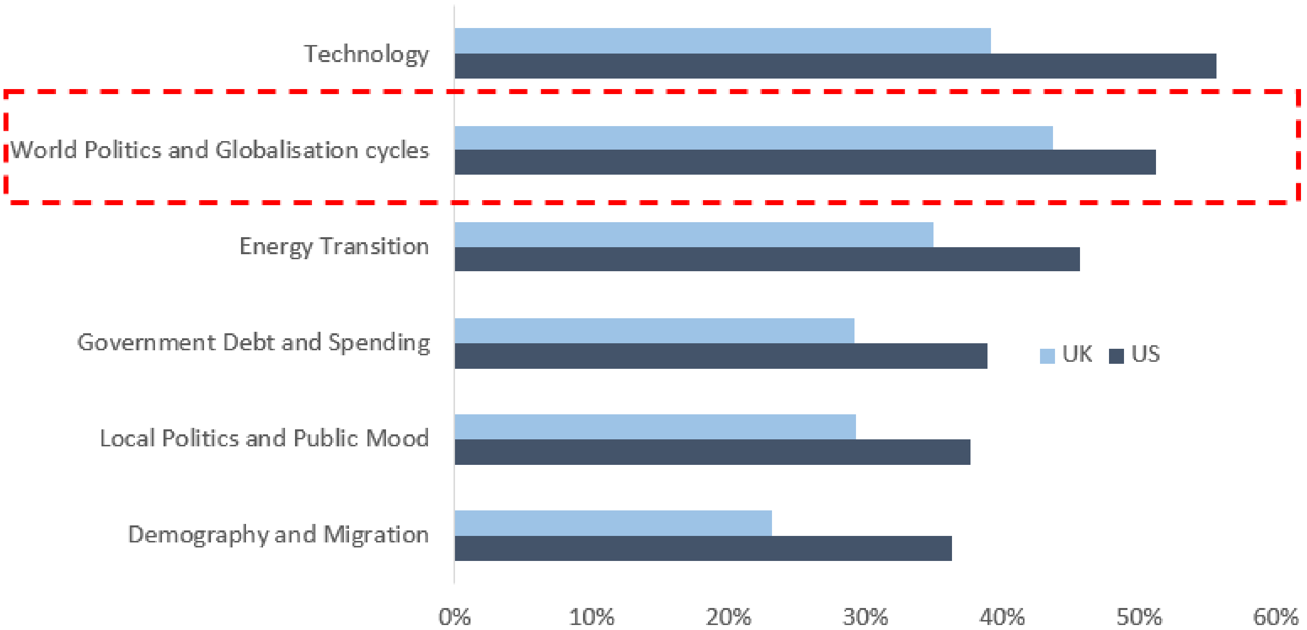
Global events are more than just war and geopolitics. They extend to incidents that affect energy prices, inflation, fiscal sustainability, and technology. Indeed, these forces are some of the strongest that affect global economies and we discuss them in detail in our piece on global megatrends.

Our thesis is that, for much of the post-financial-crisis period, low interest rates drowned out the other effects of global events. Low rates raised valuations, pushed investors into risk assets, and made it easy to explain market moves through central bank policy. Now that rates have normalised, global events are more visible as market drivers again.

Look through or not, investors are changing their portfolios

Our data indicates that investors are reshaping their portfolios as a result of global events. These investors view them not as merely one-off shocks but things that are becoming persistent forces.

Figure 1: Over the last three years, have the following thematic megatrends resulted in you making changes to your investment portfolio?



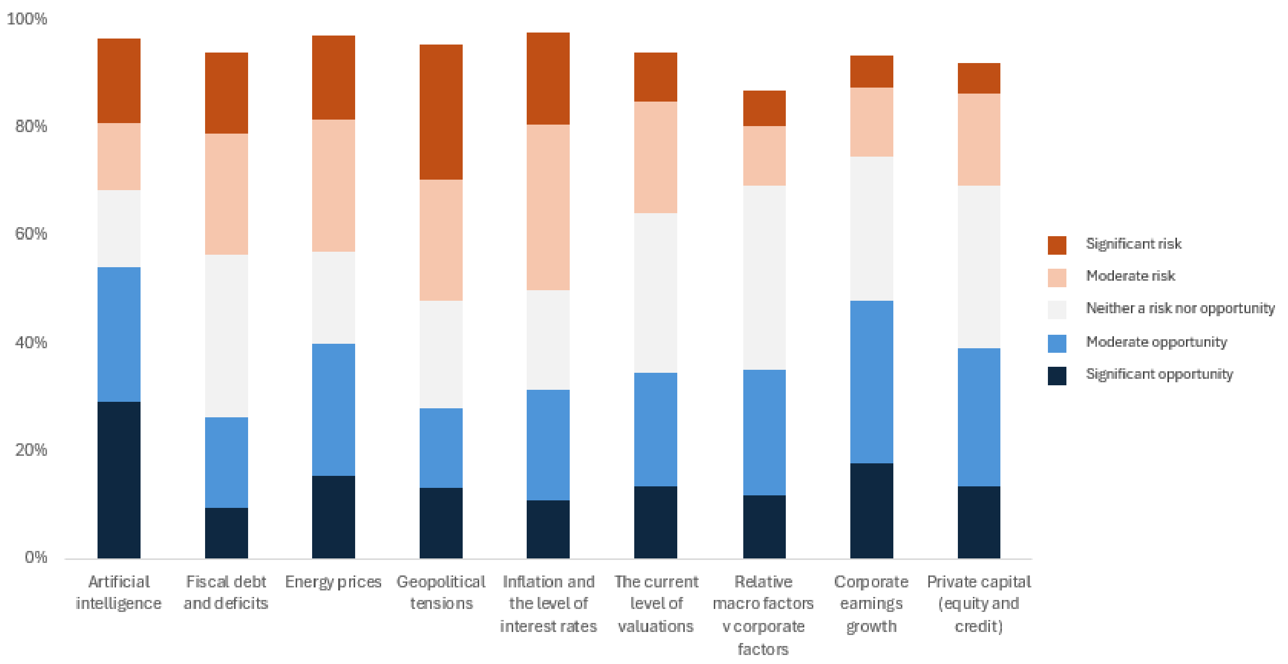
Source: Deutsche Bank dbDataInsights

The investor base is therefore not split between people who “understand” global events and people who do not. Rather, it is split between investors who emphasise different time horizons and different asset exposures. A broad equity investor may fear a Middle East shock because it threatens inflation and sentiment. An energy, gold, or defence investor may welcome the same shock because their holdings could benefit. A long-term diversified investor may view the event as noise.

Investors are highly polarised about global events

Retail investors are not passive observers as many may believe. The following table shows that our surveyed investors have strong beliefs both ways about global events and their impact on portfolios. Most importantly, when we look at geopolitics, energy prices, and inflation, the proportion of people who think there is no effect is very low compared with the other themes.

Figure 2: For each investment theme, is it a risk or an opportunity for investors in 2026? (US)



Source: Deutsche Bank dbDataInsights

Aside from the shock effect, it is understandable that the same global event can produce very different portfolio expectations. A war in the Middle East can be viewed as a risk because it raises oil prices, hurts consumers, and depresses equities. But it can also be viewed as an opportunity if an investor owns energy stocks, gold, defence shares, or believes that markets will rebound after the shock. Indeed, in our survey, several positive-impact respondents explicitly mentioned these assets and actions.

Energy is a good example. Short-term energy disruption is painful for consumers and companies. Yet, energy disruption can have positive medium-term effects if it pushes economies toward greater energy security, diversification of supply, and lower energy intensity. Indeed, since 1990 the amount of GDP generated per kilogram of oil equivalent has quadrupled in terms of purchasing power parity. In other words, economies have become much more energy efficient over time which helps explain why the current closure of the Strait of Hormuz has not yet had the disastrous effects of the oil shortages during the 1970s.

This is consistent with our megatrend framework which shows geopolitics and globalisation do not have simple linear impacts on economies. Trade in goods can be reorganised through supply chains, and trade in ideas can continue to accelerate through connectivity. In other words, geopolitical deterioration is not always a pure negative for markets. It changes the winners and losers or increases dispersion.

The most important topics

The following table shows the top 3 themes that were observed in our survey of why people think global events are either positive, negative, or neutral for their portfolios.

Figure 3: Top 3 types of global events that matter to people

Global events that make people more positive, negative, or neutral about their portfolio			
US	Negative	War and geopolitical conflict, especially Iran, Middle East, Ukraine/Russia and escalation risk	28%
US	Negative	Inflation and cost-of-living pressure reducing returns and company earnings	14%
US	Negative	Oil, gas and energy price shocks feeding through to markets	13%
UK	Negative	War and international conflict, especially Iran, Middle East, Ukraine/Russia and wider unrest	26%
UK	Negative	Inflation, rising prices and higher living or business costs	20%
UK	Negative	Energy, oil and fuel price shocks, including Middle East supply disruption	17%
US	No impact	Diversification across assets or holdings expected to absorb shocks	25%
US	No impact	Long-term investing, with short-term events expected to smooth out over time	18%
US	No impact	Low-risk, fixed income, cash-like or insulated investments	18%
UK	No impact	Long-term investing, with market ups and downs expected to smooth out	25%
UK	No impact	Uncertainty, lack of knowledge or unclear rationale	22%
UK	No impact	Diversification or resilient portfolio construction	18%
US	Positive	Global events creating growth opportunities, new markets or higher returns	20%
US	Positive	Technology, AI, digital transformation, healthcare, renewable energy or innovation	16%
US	Positive	Economic recovery, stabilisation and improving market confidence	15%
UK	Positive	Economic recovery, stronger markets and improving investor confidence	20%
UK	Positive	General optimism or confidence that things will improve	16%
UK	Positive	Global events creating investment opportunities, new markets or growth sectors	15%

Source: Deutsche Bank Research

Energy prices are the everyday face of geopolitics

Energy prices are the mechanism through which many investors experience global events most directly. In the written responses, distant conflicts become financially relevant because they raise oil, gas, petrol, utilities, shipping costs, food prices, and inflation. This is especially visible in the UK negative responses, where energy costs and inflation appear repeatedly.

Energy prices are viewed as a risk by 40% of the US investors surveyed and 55% of the UK investors. They are also viewed as an opportunity by 40% of the US investors and 29% of UK the investors. The polarisation here is obvious, and the country difference matters. The US has a large domestic energy sector, meaning some investors may see higher energy prices as positive for certain holdings. The UK investor base, by contrast, appears more likely to interpret higher energy prices through the household cost-of-living and company-cost channels.

Why some investors think global events do not matter either way

These investors are not necessarily saying that global events do not matter for the world. They are saying global events do not matter enough for their portfolios.

The main reasons both the US and UK investors in our survey cite are diversification, long-term investing, defensive holdings, local exposure, and financial discipline. They also frequently think that portfolio outcomes are driven more by company fundamentals, dividends, valuations, financial advice, local exposure, or long-term compounding, than geopolitical events. In the written responses, this often appears as "markets go up and down," "over time they smooth out," "my portfolio is diversified," or "I invest for the long term."

There is also a behavioural component. Some investors may choose "no impact" because they do not feel confident predicting global events. Several responses in the 'no impact' columns are uncertain, vague, or non-committal. This does not mean respondents believe global events are irrelevant. It may mean they do not know how to connect those events to their specific investments.

The "no impact" camp is therefore divided into two groups. The first is strategically insulated: diversified, long-term, defensive, or locally exposed. The second is cognitively uncertain: unsure, disengaged, or unable to explain the link.

Why some investors think global events will hurt their portfolios

The 'negative impact' responses are dominated by concerns about geopolitics. In the US, the most important theme is war and geopolitical conflict, particularly Iran, the Middle East, Ukraine/Russia, and escalation risk. In the UK, negative responses are similar but are even more explicitly tied to the inflationary consequences of global events. They frequently mention energy prices, oil, gas, the cost of living, and the way foreign conflicts can feed into domestic household and business costs.

When investors are negative about global events, their written responses suggest that many see a clear macro chain:

1. Global conflict disrupts energy, trade, or confidence.
2. Energy and commodity prices rise.
3. Inflation and interest-rate pressure increase.
4. Company margins and consumer spending weaken.
5. Stock markets fall and portfolio values decline.

This chain appears again and again in the responses, even when written informally. Investors may not use terms such as "supply shock," "margin compression," or "risk premium," but they are effectively describing those concepts.

The UK-US difference is notable. Our surveyed US investors appear somewhat more willing to see opportunities within global volatility, while the UK investors are more likely to view the same themes through the lens of inflation, energy dependence, and broader economic vulnerability. That may explain why "World Politics and Globalisation cycles" is the highest-ranked cause of portfolio change among UK respondents.

Political uncertainty also has a strong presence in the written responses. In the US, this focusses on President Trump, tariffs, foreign policy, and the perceived unpredictability in government. In the UK, people also mention Trump and US policy, but usually as part of a wider concern about global instability. This implies that investors do not separate domestic politics from geopolitics as cleanly as analysts often do. Leadership, war, tariffs, inflation, and markets are therefore perceived as part of one connected risk cluster.

Why some investors think global events will help their portfolios

The positive camp contains three broad types of investors. First, the optimists who believe technology and growth will dominate. Second, the sector opportunists who own assets that benefit from disruption. Third, the tactical buyers who treat volatility as a chance to buy assets cheaply.

Notably, many investors say they apply a clear investment logic. Essentially, 'disruption creates opportunity'. They cite the effect of global events on an economic recovery, technology, AI, energy transition, lower prices after market sell-offs, defence, oil, gold, emerging markets, and international trade recovery.

The most important positive theme in the US responses is growth opportunity: global events can open new markets, increase demand, create new investment opportunities, and raise returns. Technology and AI are also central. Many respondents expect AI, digital transformation, health care, renewable energy, and innovation-led sectors to do well.

This US-UK divide appears again in the written responses. US positive respondents are frequently enthusiastic about AI, tech, innovation, market growth, and sector opportunities. UK respondents are also positive on technology and innovation, but their positive responses more often include general optimism, economic recovery, and rebounds after conflict.

There is also an opportunistic trading mindset. Some respondents say market dips allow them to buy, or that volatility creates opportunities.

Indirect effects that are implicit in investor logic

The most concerning megatrend in the world today is fiscal debt and deficits – and it is an important part of the broader story about global events. Fiscal issues are less prominent in the written responses from investors compared with war, oil, inflation, and President Trump. Yet the implicit themes run through many identified factors. Indeed, 38% of US and UK respondents view fiscal debt and deficits as a risk. At the same time, around a quarter of people in both countries view them as an opportunity.

So, although investors talk frequently about inflation, rates, taxes, government borrowing, and weaker growth, they do not always connect those concerns explicitly to sovereign deficits. But fiscal anxiety appears indirectly embedded in worries about inflation, interest rates, debt, taxes, and government policy.

Government debt and spending has already prompted portfolio changes by 39% of the US investors and 29% of the UK investors over the last three years. That is lower than technology, world politics, and energy transition, but still significant. It suggests that fiscal concerns are not absent, they are simply less emotionally vivid than war or energy prices.

Thus, investors who are positive on AI may be implicitly assuming that technology can overpower fiscal and geopolitical headwinds. Investors who are negative on global events may be implicitly assuming that debt, conflict, inflation, and policy instability will overpower technological progress. The debate is not simply about whether global events matter. It is about which global force dominates.

Conclusion: The polarisation of opinion on global events means we should brace for volatility and dispersion

In the end, the surveyed investors overwhelming think global events matter because they reach into their portfolio through inflation, oil, politics, growth, and technology. Investors think the world does not matter when they believe their portfolio construction, time horizon, or asset selection can neutralise those forces.

The investor base is therefore not split between people who “understand” global events and people who do not. Rather, it is split between investors who emphasise different time horizons and different asset exposures.

Cultural differences are important. The surveyed US investors are most likely to have changed portfolios because of technology, followed by world politics, while the UK investors are most likely to have changed portfolios because of world politics and globalisation cycles, and then technology.

This suggests that US investors are more likely to frame the future around innovation and technology while UK investors see investing more through the lens of global political cycles.

In investment terms, this means global events should be understood less as a single directional call on equities and more as a source of dispersion. In other words, they just change the relative winners and losers.

Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.